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balances, past mistakes, or hard times. However, viewing job preservation as a form of job creation and choosing the old over the young has infected our employer-linked social security programmes with high costs, low competition, and excessive deductions. Consequently, only 1 million of 63 million enterprises and 75 million of our 550 million labour force make monthly social security contributions. We could bring 50 million workers into formality with three reforms to the Employees' Provident Fund Organisation (EPFO): efficiency (cut costs; they currently operate the world's most expensive government securities mutual fund), choice (make employee contribution voluntary), and competition (give employees an option to pay to NPS).

Degree Apprentices: Over the last 20 years, we have learnt that five design principles matter in skill development: learning while earning, learning by doing, learning with degree connectivity, learning with multi-modal

delivery, and learning with signalling value. Integrating these design principles requires a product that creates tight relationships between universities, employers, and students rather than pious collaboration intentions. NEP 2020 imagined degree apprentices to be this product. We could add 50 million employed learners and students with three reforms: deregulating online education for all accredited universities, allowing tripartite apprenticeship contracts, and bringing down NEP's implementation glide path from 15 to five years.

Labour Codes: Most of India's unreasonable criminal provisions for employers lie in labour laws; the Factories Act 1948, read with 58 rules, contains more than 8,682 imprisonment clauses. A former chief labour commissioner once told me he was enforcing the unenforceable. Current labour laws breed corruption, discourage job creation, and blunt formality. India's services exports and jobs are impressive. However, it is crucial to acknowledge that the low proportion of our labour force working in

labour-intensive manufacturing has something to do with our labour laws. India's new labour codes could do with some tweaks (there should only be one instead of five), but they are good laws, and implementing them would attract the dozens of factory refugees looking for a home as they leave China.

Government Schools: The most embarrassing number about India is that only 45% of our kids are in government schools; only 5%, 10% and 15% of kids in Japan, the UK and America are in private schools. This embarrassment is hardly an argument against private schools; our employer's supply chains would have crumbled without their expansion. But if anything can make a society fairer, it is free, accessible and quality school education. Yet decades have been lost in raising teacher salaries, lowering class sizes and specifying teacher qualifications. The reform agenda for government schools must shift to the curriculum (rethinking student assessment), performance management (fear of falling and hope of rising) and governance (decentralisation of decision-making).

The biggest lesson from our failed attempts to create prosperity after Independence—it was not God's will that it should take 72 years for 1.3 billion Indians to cross the GDP of 66 million Britishers—is that there is no such thing as poor people, but people in poor places. Our people choose five places; two are physical (state and city), and three are conceptual (employer, sector and skill). Moving Indians to high-productivity places is our primary agenda because human capital is the only strength that matters for countries in the 21st century. **BT**

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